per cent in 1950s to 20.4 per cent in the 1980s. The share of the social and personal services group also declined somewhat from 32.8 per cent in the 1950s to 30.9 per cent in the 1980s.

Services Economy Crossed 50 Per Cent Mark by the Turn of the Century

In 1999–2000, India's GDP at factor cost (at 1993–94 prices) was Rs 11.48 lakh crore.

The trade, transport, storage and communication group of services contributed Rs 2.56 lakh crore of GDP, the financing, insurance, real estate and business services group contributed Rs 1.46 lakh crore of GDP, and the public administration and defence and other services group contributed Rs 1.53 lakh crore of GDP at factor cost. Together, the services group contributed Rs 5.55 lakh crore of GDP. India's services GDP in 1999–2000 had commanded 48.3 per cent of GDP.

As GDP estimates get revised from time to time depending upon the series of prices adopted, the share of services in 1999–2000 came very close to 50 per cent at 1999–2000 prices. At these prices, services contributed Rs 8.88 lakh crore, which was 49.69 per cent of India's GDP at a factor cost of Rs 17.87 lakh crore.

India's services GDP crossed the 50 per cent mark the next year in 2000–01, the first year of the new millennium. India's GDP at factor cost was Rs 18.64 lakh crore in 2000–01. The trade, hotels, transport and communication group contributed Rs 4.16 lakh crore, the financing, insurance, real estate and business services group contributed Rs 2.43 lakh crore, and public administration and defence and other services contributed Rs 2.79 lakh crore. Together, services contributed Rs 9.38 lakh crore and services GDP, at 50.03 per cent, crossed the halfway mark for the first time.